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GUEST ESSAY

I Worked for Block. Its A.I. Job Cuts Aren't What They Seem.

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By Aaron Zamost
Mr. Zamost was the head of communications, policy and people at Square, now known as Block, from 2015 to 2020.

The texts poured in. "WOW." "WILD." "Bloodbath." As the former head of communications, policy and people at Square, the company now known as Block, I knew what those messages meant without having seen the news.

Block stunned the tech world last week when it announced it was dismissing over 4,000 employees in a radical A.I.-driven restructuring. A.I. is "enabling a new way of working which fundamentally changes what it means to build and run a company," declared Block's chief executive, Jack Dorsey, on Thursday.

Later that day, workers sent thumbs-down emojis raining down their screens during the company's all-hands video meeting and scrambled to figure out who had survived.

The question on minds everywhere: Is A.I. a terrifying new reality in which the work they do might no longer be viable? Or is Block's announcement just a convenient and flashy new cover for typical corporate downsizing?

The truth is, nobody knows the answer — not even Block itself. In a note to the staff, Jack, my old boss, acknowledged that some of the decisions about which roles were eliminated might turn out to be mistakes. That was not a small admission. One might think a company would want to move cautiously before laying off nearly half its work force. But that person doesn't understand Silicon Valley generally, Jack specifically and the immense pressure on established tech companies to prove their A.I. credentials.

Silicon Valley is led by engineers. Jack, like many engineers-turned-leaders, sees the world largely through that lens. At a time when some A.I. coding tools have rapidly improved to become a real game-changer, it's not a big logical leap for an engineering-minded leader to conclude that A.I. will rip through the rest of our work as well. Jack, who also co-founded what was then called Twitter, has long placed big bets based on a read of early signals. These layoffs, like his early adoption of Bitcoin and his decision to close offices at the onset of Covid before everyone else, show a tendency to identify patterns, see enormous growth as an inevitability and go all in with conviction.

A.I. may provide a new justification for layoffs, but the playbook is familiar. Silicon Valley executives have argued that tech companies are overstaffed because they expanded too much during the pandemic. Block itself had gone through rounds of layoffs in 2024, 2025 and again in February to fix the predictable fallout from earlier executive turf wars that led to teams being duplicated all over the organization. (This, in my view, is what led Block to triple its head count in four years.) Look closer at specific cuts — like shrinking the policy team and eliminating diversity and inclusion roles, former colleagues told me — and Block's latest reorganization reads like standard prioritization and cost management, not an A.I.-driven reinvention.

It is impossible to ignore how the A.I. arms race has reshaped the tech industry. The largest A.I. companies this year will spend roughly equal to the gross domestic product of Sweden to support their efforts. Fear that the A.I. tsunami will destroy the traditional software field has led investors to pummel the valuations of long-established companies like Salesforce and Adobe. Like those businesses, Block is not an A.I. company. It is a financial services tech business, and it understandably wants to avoid "software dodo" extinction before it comes for its industry. In that respect, A.I. is both a story line and a survival strategy.

It makes sense for companies to show Wall Street that they understand the assignment: adapt or die. It matters less whether a company knows how to deploy A.I. and more whether investors *believe* it is on track to do so. In that respect, it doesn't matter whether a company's stated rationale is sincere or not. Once it announces it is cutting jobs for A.I., the remaining workers have no choice but to buy into that vision.

This is what's happening at Block. Several months ago, employees were told that the company was tracking everyone's use of A.I. tools. The implicit message was clear: Adoption was not optional. Layoffs later became the enforcement mechanism — reduce a team from 10 to one, and that remaining person has no choice but to adopt A.I. tools to attempt to absorb the work of the nine others. This increases A.I. use, and suddenly the rationale creates conditions that make it self-reinforcing. Congrats, you're now an A.I.-first company.

That future, however, is colliding with the reality of what A.I. can actually do. The size of these layoffs is shocking to the public because of the gulf between asserting that A.I. is ready to replace work and our often disappointing encounters with it: useless email summaries, antisemitic chatbots and A.I. overviews that can't get even basic facts right. (Google recently told me Michelle Pfeiffer received an Oscar nomination for "most desirable female.") It's hard to reconcile the two. How are thousands of people losing their jobs to this?

Generative A.I. can get you 80 percent of the way to a company blog post with decent prompting. But a chatbot can't meet with the mayor, cast commercial actors or negotiate with the Securities and Exchange Commission. Not all the roles I've heard that Block is eliminating can be handled by A.I., yet executives are treating it as equally useful today to all disciplines.

Betting big before seeing all the cards is classic Silicon Valley. It puts the company's employees in a race to make A.I. productive before the gutted teams buckle under the workload and performance deteriorates. The transition to an A.I.-first world may be inevitable, but the path is still being paved with the heavy lifting of the very people being phased out.

Wall Street rewarded Block handsomely, sending the company's stock up 24 percent after the announcement. That incentivizes the rest of corporate America to follow Block's lead and announce traditional layoffs while playing the A.I. card.

I'm sure it will.

Source photographs by Mario Martinez and Siri Stafford/Getty Images.

Aaron Zamost is a tech communications consultant and was the head of communications, policy and people at Square, now known as Block, from 2015 to 2020.

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